

Table 53.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	42% up	58% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 32%, M 31%, H 36%	L –16%, M –17%, H –13%
Throwbacks/pullbacks occurrence	60%	66%
Average time to throwback/pullback peaks	4% in 6 days	–6% in 6 days
Average time to throwback/pullback ends	13 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	26%	–14%
Average rise/decline for patterns without throwbacks/pullbacks	46%	–18%
Percentage price resumes trend	42%	60%
Performance with breakout day gap	42%	–16%
Performance without breakout day gap	33%	–15%
Average gap size	\$0.36	\$0.37

Yearly position, performance. Sorting performance into the three yearly price ranges (low, middle, high), we see that the best performance comes from roofs within a third of the yearly high (upward breakouts). Those appear to be momentum plays: buy high, sell higher. Downward breakouts do best when the breakout is in the middle of the yearly range with performance from the low range just a percentage point behind.

Throwbacks and pullbacks. Throwbacks occur 60% of the time, and pullbacks happen a bit more frequently: 66%. By definition, price must leave the chart pattern, move a bit away (leaving whitespace behind), and return to or come close to the breakout price within 30 days.

I found that price trends for 6 days, moving between 4% and 6% (depending on breakout direction) before starting the return trip. The entire round-trip move takes 12 or 13 days on average.